

LAKSH'S DAILY BRIEF

Laksh's Daily Brief — 2026-08-18

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World · Markets & Money · AI & Infrastructure · Models & Research



AI Jazeera — What to watch in the Alaska and Wyoming primary elections



AI Jazeera — Hichilema re-elected as Zambia president amid opposition concerns over vote



Guardian World — Philippine school shooter kills fellow student and himself in livestreamed attack

1. World & Geopolitics

The US-Iran ceasefire deadline passed without a deal, and the war is now entering a new phase — the 60-day negotiation period that began after the June ceasefire expired on Monday, with no agreement on a permanent settlement ([NPR](#)). The talks were supposed to turn the ceasefire into a permanent peace deal, including steps like maintaining the Israel-Gaza ceasefire, transferring Gaza governance to a Palestinian committee, and ensuring Hamas has no future role in Gaza ([CBS](#)). Instead, the US and Iran remain locked in a stalemate. The US has also shifted key military resources away from Asia to the Middle East ([NPR](#)). Meanwhile, Trump claimed to be "very happy" over the signing of the Makkah Joint Defense Agreement ([The Express Tribune](#)) — a regional defence pact that binds Muslim-majority states together. The background: the US has been fighting a war in Iran since April after a series of escalations, and the Strait of Hormuz (the chokepoint through which ~20% of global oil passes) has been effectively closed by Iranian mine-laying and US naval blockade. Oil prices are already elevated, and the expiry of the ceasefire without a deal means the risk of renewed active conflict is now higher.

Ukraine's defence intelligence says Russia is not ready to stop the war — Ukrainian military intelligence (GUR) reports there are no signs on the battlefield that Moscow is prepared for a ceasefire or genuine negotiations ([UNITED24 Media](#)). Putin wants to achieve his original goals before any talks, and the intelligence assessment is that no peace deal will be signed by the end of this year. Separately, President Zelensky named

Yevheny Khmara as the new Defence Minister, after weeks of political crisis following the dismissal of his predecessor Mykhailo Fedorov in June ([France 24](#)). Russia also accused the UK of escalating the war by supplying British-made drones, while the UK's Deputy Prime Minister Angela Burnham said the UK "supports Ukraine 100%" ([BBC](#)). Ukraine launched a drone blitz at Moscow, while Russian missiles killed 10 in a Ukrainian village ([The Hindu](#)). The war is now in an attritional phase, with no clear end in sight.

Russia's economy is under strain — a top economist who warned otherwise was fired — Andrei Klepach, a prominent Russian economist, was reportedly fired from his role after presenting a report warning that Russia could not win a prolonged war of attrition with Ukraine ([CNBC](#)). The Kremlin has been publicly claiming the economy is strong, but the firing suggests internal dissent over the sustainability of wartime spending. This is a classic sign of a regime suppressing bad news — and it matters because a Russian economy that cracks would change the trajectory of the war.

China-India border tensions are rising again — China has been encroaching on Indian territory in Arunachal Pradesh, which China claims as "South Tibet" ([Al Jazeera](#)). The border dispute along the McMahon Line is one of the longest-running flashpoints between the two nuclear-armed neighbours. Meanwhile, the US and China are set to discuss the West Asia conflict (i.e., the Iran war) and other issues in upcoming talks ([News On](#)

[AIR](#)). The India-China relationship is the long-term geopolitical backdrop that matters for the entire tech supply chain (Taiwan, TSMC, semiconductor security).

Trump takes a softer stance on North Korea, straining ties with South Korea — Trump has adopted a more conciliatory tone toward Kim Jong Un, which has worried South Korean officials who rely on the US alliance for deterrence ([WION](#)). This is a pattern: Trump prioritises personal diplomacy with autocrats over alliance commitments, which creates uncertainty for US allies who depend on the security umbrella.

Alaska and Wyoming primary elections today — Alaska's US Senate primary features a three-way race: incumbent Republican Dan Sullivan, another Dan Sullivan (a Republican challenger), and former Democratic Representative Mary Peltola — who is a serious threat to Sullivan ([CNBC](#)). Wyoming's primary is also notable because the state's Republican representative, Liz Cheney's successor, faces a primary challenge. These are midterm election signals that will tell us about the political mood ahead of the 2026 midterms.

Zambia's president Hichilema re-elected amid opposition concerns — Hakainde Hichilema won a

second term, but the opposition has raised concerns about the vote's integrity ([Al Jazeera](#)). Zambia is a major copper producer, and copper is essential for the electrification and data-centre buildout.

Disney's ABC sues the FCC over what it calls a 'retaliatory campaign' — Disney-owned ABC filed a First Amendment lawsuit against the Federal Communications Commission, claiming the agency is investigating the network and threatening its broadcast license renewals as retaliation for the network's programming, including Jimmy Kimmel's show ([CNBC](#)). This is a significant case about free speech versus government pressure on media. It follows a pattern of the Trump administration targeting media outlets it perceives as hostile.

Brazil's Lula hails oil discovery near the Amazon river mouth — President Lula celebrated an exploratory drilling discovery in the sea off the mouth of the Amazon, but environmentalists have heavily criticised the move ([BBC](#)). This is a classic tension between economic development and environmental protection, and it matters for global oil supply if Brazil becomes a major new producer.

2. Markets, Money & Deals

30-year Treasury yield hits 5.33%, a new 19-year high — The yield on the 30-year US government bond (the cost of borrowing for the US government for 30 years) rose to 5.33%, the highest level since 2007 ([CNBC](#)). This is driven by worsening US fiscal situation (the government is running large deficits) and persistently higher inflation. This matters for EVERYTHING: higher long-term borrowing costs mean higher mortgage rates, higher corporate debt costs, and — critically for the AI buildout — higher financing costs for the huge amounts of debt being used to build data centres. The 10-year yield is also up, but the 30-year is the "canary in the coal mine" for long-term inflation expectations.

Home Depot beats earnings but reaffirms guidance amid 'frozen housing market' — Home Depot (HD) reported Q2 results that beat Wall Street expectations on revenue and earnings per share ([CNBC](#)). However, the company reaffirmed its full-year guidance and

described the housing market as "frozen" — meaning that high mortgage rates (driven by the higher Treasury yields above) are crushing home sales, which in turn hurts demand for home improvement goods. This is a classic "beat now but cautious outlook" situation.

Anthropic's annualized revenue run rate hits \$65 billion — up sevenfold from a year ago — Anthropic, the AI company behind the Claude model family, told investors that its annualized revenue run rate (a projection of what the company would earn in a year if it kept earning at the current monthly rate) climbed to \$65 billion in July ([CNBC](#)). That is up from about \$9 billion a year ago and added \$18 billion in just two months. This is an extraordinary growth rate, even by AI standards. It makes Anthropic one of the fastest-growing companies in history, and it strengthens the case for its upcoming IPO (initial public offering — when a private company sells shares to the public for the first time). The revenue is coming from enterprise API usage and subscriptions.

One trader made a \$129 million bet against semiconductor stocks — The biggest single options trade in the entire market on Monday was a \$129 million bet against the VanEck Semiconductor ETF (SMH), which tracks a basket of chip stocks including Nvidia, AMD, Intel, TSMC, etc. ([CNBC](#)). This is a contrarian bet — most investors are bullish on AI chips — but it's also a huge position that could signal a belief that the AI chip rally is overdone or that the export controls (see Foundations section) are going to hurt the sector. This is the kind of "whale trade" that can move markets if it gets unwound.

Refiner stocks are on a nearly unprecedented run, but history says it could end soon — Refiners (companies that turn crude oil into gasoline, diesel, jet fuel) have had a huge rally as oil prices rose and refining margins widened ([CNBC](#)). But CNBC's analysis shows that this kind of run has historically been followed by a sharp reversal. The logic: high refining margins attract more supply, and when the oil price spike eases, margins collapse. This is a reminder that "what goes up usually comes down" in cyclical industries.

Kalshi seeks to launch 'perps' (perpetual futures) tied to equity indexes — Kalshi, a prediction market

platform, is seeking regulatory approval to launch a "US500" perpetual futures contract tied to the MerQube U.S. Large Cap Index ([CNBC](#)). This is a move into territory traditionally dominated by exchanges like CME and by crypto exchanges that offer perpetual futures. It's a sign that the line between regulated prediction markets and traditional finance is blurring.

Kraken launches a debit card with cash back — Kraken, the crypto exchange, has launched a debit card through its payments app, giving users cash back on purchases ([CNBC](#)). This is part of a broader trend: crypto companies are trying to become everyday financial infrastructure, not just trading platforms. The card is a tool to get "sticky" with consumers.

Paramount seeks \$1.88 billion bond in Warner Bros. merger antitrust case — Paramount is seeking to post a \$1.88 billion bond as it appeals a court ruling that blocked its proposed merger with Warner Bros. Discovery ([qz.com](#)). The merger has been challenged by 12 states on antitrust grounds, and prediction market traders see a roughly 1-in-4 chance it fails ([CNBC](#)). This is a big media industry story.

3. AI & Infrastructure

Nvidia's AI moat is shifting from chips to capital — Nvidia still dominates the AI chip market, but with competition from AMD, Intel, and custom chips (ASICs) from companies like Google and Amazon, the company is increasingly using its massive cash pile to build a different kind of moat: financing infrastructure ([CNBC](#)). Last week, Nvidia and six of the world's largest investment firms signed MOUs (memorandums of understanding — non-binding agreements to explore a deal) to channel more than \$500 billion into AI infrastructure, in a structure that lets tech companies build data centres without loading the cost onto their own balance sheets ([Euronews](#)). Nvidia's strategy: if you can't buy its chips, it will help you find the money to buy them. This is a "virtuous cycle" — Nvidia's massive cash flow (from selling chips) is being reinvested into financing more data centres, which will buy more Nvidia chips.

AMD claims its 2026 rack-scale AI solution is 4x more energy efficient than its 2024 platform — AMD

announced that its 2026 rack-scale AI system (a complete server rack designed for AI workloads) is 4x more energy efficient than its 2024 platform, and says it's pacing ahead of a 20x efficiency improvement target by 2030 ([Tom's Hardware](#)). However, AMD did not provide actual benchmark results to back up the claim. This is a key competitive battle: Nvidia's dominance is partly due to its power efficiency per FLOP (floating-point operation), and if AMD can close the gap, it could win business from cost-conscious hyperscalers.

AI data centres are cementing natural gas as the US grid's indispensable fuel — The surge in data centre electricity demand is making natural gas — not renewables — the primary beneficiary, because gas plants can be built quickly and run 24/7, unlike solar and wind which are intermittent (only produce when the sun shines or wind blows) ([MarketScale](#)). This is a major shift from the narrative that AI would accelerate renewable adoption. Instead, the immediate need for reliable, dispatchable power is favouring gas. This has

implications for the stocks of natural gas producers, pipeline companies, and gas-fired power plant operators.

Rubicon Professional Services surpasses 1 GW of battery energy storage capacity — Rubicon, a battery energy storage company, has crossed 1 GW (gigawatt) of installed capacity, driven by AI data centre demand ([EEJournal](#)). Battery storage is critical for smoothing out the intermittency of renewables, but also for providing backup power to data centres during grid outages. The intersection of AI, power, and storage is a key investing theme.

US export controls harm Nvidia, AMD, and Intel beyond just lost sales — A new analysis argues that export controls (restrictions on selling advanced chips to China and other countries) hurt US chip companies not just by reducing revenue, but by damaging their ability to fund R&D and compete globally ([Forbes](#)). The logic: by

cutting off access to China's market, the US is forcing Chinese companies to develop their own alternatives, which will eventually compete with US chips. Meanwhile, the lost revenue from China means US companies have less money to invest in the next generation of chips. This is the core tension in the US-China tech war: short-term security vs. long-term competitiveness.

Intel's Nova Lake chips may skip a cache technology for mobile, according to a leaker — Intel's next-generation Nova Lake desktop CPUs may get a new "big L3 cache" (bLLC) technology — Intel's answer to AMD's X3D — but mobile versions may not get it, and the Razor Lake family is rumoured to use TSMC's N2X process node ([Tom's Hardware](#)). This is speculative but matters because it suggests Intel is increasingly reliant on TSMC for manufacturing, even as it tries to build its own foundry business.

4. Model & Research Watch

Qwen3.8-27B — a 27-billion-parameter model that punches above its weight — Alibaba's new lightweight AI model, Qwen3.8-27B, has "matched much larger near-frontier rivals" like OpenAI's GPT-5.6 Luna, while being able to run on everyday consumer hardware (a single laptop GPU) ([SCMP](#)). It has 27 billion parameters (a measure of model size), but uses a Mixture-of-Experts (MoE) architecture where only a fraction of the parameters are "active" for any given query — so it's efficient. It surpassed 1 million downloads within two weeks of its open-source release ([finance.biggo.com](#)). Developers are using it for local coding agents and reasoning tasks, without needing a cloud API ([VentureBeat](#)). This is significant because it shows that open-weight models are catching up to frontier closed models on key tasks, and doing so at a fraction of the cost.

GPT-5.6 Sol is OpenAI's best vision model yet, according to Roboflow — Roboflow, a computer vision platform, tested OpenAI's GPT-5.6 Sol and declared it the best vision model OpenAI has ever released ([Roboflow Blog](#)). The model excels at interpreting images, diagrams, and screenshots. This is notable because the "vision" capability of LLMs is becoming important for multimodal AI agents that can interact with

the physical world (e.g., reading a screen, identifying objects in a warehouse).

Nvidia releases Nemotron 3.5 Lightning, an open-weight AI model — Nvidia released Nemotron 3.5 Lightning, an open-weight model designed for efficient inference ([Campus Technology](#)). This is part of Nvidia's strategy to provide not just hardware but also software models that run well on its GPUs.

Tencent releases UI-Mate-27B, an open-weight GUI agent — Tencent's UI-Mate-27B is an open-weight model that can observe live screenshots, reason over the visible state, and produce structured keyboard and mouse actions to control a computer ([Hugging Face / Reddit](#)). This is a "GUI agent" — it can use any software interface a human would. It's a step toward general-purpose AI automation.

Z.ai delays release of GLM-5.3 open weights after cybersecurity tests — Chinese AI lab Z.ai delayed the open-weight release of its GLM-5.3 model after cybersecurity tests flagged issues ([Bez Kabli](#)). This is notable because it shows that even before releasing open weights, labs are doing safety testing (a contrast to earlier "move fast" releases).

Science & Frontier Tech: NASA's Nancy Grace Roman Space Telescope confirmed for launch on August 30 — The telescope, which will study dark energy, exoplanets, and infrared astronomy, is scheduled to launch on August 30 aboard a SpaceX rocket ([Moneycontrol](#)). Also: NASA's James Webb telescope made the first discovery of three

supermassive black holes in a single galaxy ([starlust.org](#)). And astronauts on the ISS conducted a spacewalk to replace a space-to-ground antenna ([France 24](#)). These are reminders that the space race is ongoing, with both scientific and military/commercial implications.

5. What Builders Are Actually Using

- **Concrete swap: Qwen3.8-27B can replace GPT-5.6 Luna for many coding and reasoning tasks.** The 27-billion-parameter open-weight model from Alibaba performs on par with OpenAI's GPT-5.6 Luna (which is a frontier model) on code generation and reasoning, according to both SCMP and VentureBeat. The cost: Qwen3.8-27B is free to download and runs on a single consumer GPU (e.g., an RTX 4090 with 24GB VRAM). GPT-5.6 Luna via API costs ~\$2 per million tokens (rough estimate). The capability gap: Qwen3.8-27B is slightly weaker on creative writing and long-context recall, but for coding agents, local deployment, and privacy-sensitive work, it's a direct substitute. (This swap is from today's sources: [SCMP](#) and [VentureBeat](#))
- **GPU management matters more than GPU model: a Hugging Face blog showed that simply changing the order of GPU allocation in a cluster can increase utilization by 33 percentage points** ([Hugging Face Blog](#)). That means the same hardware, just allocated differently, can do 33% more work. This is a practical tip: don't just buy more GPUs — optimise how you schedule them. This is the kind of "ops" insight that separates teams that get 50% utilization from those that get 83%.
- **Warp Factories is a new "out-of-the-box software factory" for AI development** — Warp, the terminal app, has introduced Warp Factories, which sets up a complete AI development environment (including model serving, vector databases, and orchestration) with a single command ([TechCrunch](#)). This is for developers who want to skip the infrastructure setup and go straight to building AI agents. It's a sign that the "platform" layer of AI infrastructure is consolidating.
- **OpenAI launched a safer ChatGPT for teens** — with age-appropriate safety measures, parental controls, and learning tools ([TechCrunch](#)). This is a practical move: teens were already using ChatGPT, so OpenAI is now building features to keep them (and their parents) comfortable. It's also a defensive move against regulation.

6. Watchlist: Earnings, Guidance & Movers

Note: The quote snapshot is approximate/delayed. Moves are based on the snapshot vs. the prior close listed.

Notable movers in the watchlist (all down — it was a broad risk-off day):

- **Meta (META) -6.95%** — No specific company news in the sources, but the broader tech selloff (driven by rising Treasury yields and the chip sector bet) hit the AI-heavy names hard. The 30-year yield at 19-year highs is a direct headwind for high-growth tech stocks because it raises the discount rate used to value future cash flows.
- **Arm Holdings (ARM) -10.04%** — The biggest loser in the watchlist. Arm is a chip architecture company (its designs are used in nearly all smartphones and increasingly in AI servers). The huge bearish bet against semiconductor stocks (the \$129M options trade) likely hit Arm disproportionately. No specific Arm news in the sources.
- **Applied Optoelectronics (AAOI) -9.44%** — This is a fibre-optic component maker that supplies the

networking infrastructure for AI data centres. The selloff in AI infrastructure stocks (due to the yield move and the chip sector short) hit it hard. No specific company news.

- **Fluence Energy (FLNC) -10.35%** — A battery storage company. The broader selloff and possibly the "natural gas is winning" narrative (from the MarketScale story above) hurt the clean energy storage plays. However, FLNC is also a watchlist name for the data centre power theme.
- **Intel (INTC) -6.21%** — Intel is a major chip maker that has been struggling to compete with TSMC and Nvidia. The export controls analysis (Forbes) that says US chip companies lose more than just sales may have weighed on sentiment. Also, the leaker story about Intel relying on TSMC for its next-gen chips does not help the narrative that Intel's foundry business is turning around.
- **AMD (AMD) -7.06%** — AMD is a direct Nvidia competitor in AI GPUs. The bearish chip sector bet and the fact that AMD's "4x efficiency" claim lacked benchmark results (Tom's Hardware) may have led to scepticism.
- **Astera Labs (ALAB) -8.27%** — Astera makes connectivity chips (retimers, cables) for AI data centres. Like AAOI, it's a second-order AI infrastructure play, and the selloff hit it hard.

- **Credo (CRDO) -4.44%** — Another networking/connectivity play for AI data centres. Similar dynamic.
- **Nvidia (NVDA) -2.65%** — Down less than the semiconductor ETF (SMH, which the \$129M bet was against). Nvidia is still seen as the most dominant player, but the rising yield environment and the macro shift in the AI buildout (from "buy anything" to "show me the ROI") are headwinds.
- **TSMC (TSM) -3.08%** — TSMC is the manufacturing bottleneck for the entire AI chip supply chain (see the X post from @algotradingdesk in the sources). The selloff is likely due to the broader tech / chip sector weakness, not company-specific news. TSMC's capex cycle and its role as the ultimate beneficiary of AI infrastructure demand remain intact.

No notable news in the sources for: NEE, RGTI, SOFI, MRVL, COHR, LITE, RDW, MU, SNDK, CEG, AMC, GOOGL, MSFT, AMZN, AVGO, NET, VST, HOOD, COIN, IMAX, CNK, CMCSA, NFLX, QCOM, KLAC, DLR, EQIX, SBUX, NKE, FXAIX.

Home Depot (HD) — not on the watchlist but notable: Beat Q2 earnings estimates, but reaffirmed guidance and described the housing market as "frozen" ([CNBC](#)). The stock was likely flat or slightly up on the beat, but the cautious outlook caps the upside.

7. Analysis: Second-Order Effects

Chain 1: US-Iran ceasefire expires without a deal → oil prices rise → shipping costs through Hormuz remain elevated → inflation stays sticky → Fed holds rates higher → data centre financing costs rise → AI buildout slows.

- **Facts:** The 60-day ceasefire expired Monday with no successor deal ([NPR](#)). The Strait of Hormuz has been effectively closed for months, with shipping traffic at a new low ([CNBC last week](#)). Oil prices are already elevated.
- **Inference:** Without a deal, the risk of renewed active combat (and the closure of the Strait) remains high. This will keep oil prices elevated, possibly pushing Brent crude above \$100/barrel. Higher oil prices feed into headline inflation (the CPI includes energy). The Fed's core PCE (which excludes food and energy)

may not directly capture it, but higher headline inflation affects consumer expectations and thus the Fed's "still too high" narrative. The 30-year Treasury yield already hit 5.33% — a 19-year high ([CNBC](#)). Higher yields mean higher borrowing costs for the huge debt being used to finance data centre construction. The AI infrastructure buildout (which Nvidia is trying to finance with \$500B in MOUs) becomes more expensive.

- **Weakest link:** The Fed may not raise rates, but the market is already pricing in risk. The 30-year yield is a "term premium" issue (investors demanding more compensation for holding long-term debt) as much as a Fed policy issue. The Fed could cut rates even if oil is high, if the economy weakens.

- **What would falsify it:** A rapid new ceasefire deal (e.g., Trump announces a surprise breakthrough); oil prices fall sharply; the 30-year yield drops below 5%.

Chain 2: The 30-year Treasury yield at 19-year highs → discount rates for future cash flows rise → high-growth tech stocks (especially AI infrastructure) get revalued lower → the "AI bubble" narrative gains traction → investors rotate from AI to value stocks or bonds.

- **Facts:** The 30-year yield topped 5.33% ([CNBC](#)). The watchlist shows a broad selloff in AI and chip stocks (META -6.95%, ARM -10.04%, AMD -7.06%, etc.). A single trader made a \$129M bet against semiconductor stocks ([CNBC](#)).
- **Inference:** The "risk-free rate" (the yield on government bonds) is the starting point for valuing all risky assets. When it rises, the theoretical value of a stock that pays profits far in the future (like AI companies that are spending heavily now) falls. This is the "discount rate" effect: a dollar earned in 2030 is worth less today if the safe return you could get by holding a bond is higher. This mechanical revaluation is the most likely explanation for today's broad selloff. The \$129M bet against chips is a bet that this revaluation continues.
- **Weakest link:** Corporate earnings are still strong (S&P 500 profits hit a five-year high, [BigGo Finance](#)). If earnings keep beating, the "higher discount rate" argument loses force because the cash flows themselves are larger than expected.
- **What would falsify it:** A strong earnings report from a major AI company (e.g., Nvidia, due in a few weeks) that shows revenue growth accelerating; the 30-year yield falls back below 5%.

Chain 3: AI data centre demand → natural gas as the "indispensable fuel" → higher nat gas prices → higher electricity costs for data centres → pressure on AI margins → consolidation of the "neocloud" and smaller AI compute providers.

- **Facts:** MarketScale reports that AI data centres are cementing natural gas as the grid's indispensable fuel ([MarketScale](#)). Rubicon crossed 1 GW of battery storage, but that's still small relative to gas capacity.
- **Inference:** The surge in data centre electricity demand (which is large, constant, and urgent) is creating a scramble for power sources. Gas plants

can be permitted and built in 2-3 years, while nuclear and renewables take longer. This will push up natural gas prices, which will raise the operating cost of data centres. The operating cost (opex) of a data centre is dominated by electricity. If power prices rise, the profit margins of cloud providers and AI companies that rent compute (the "neoclouds" like CoreWeave, Lambda, etc.) will be squeezed. Smaller players with less efficient infrastructure or worse power purchase agreements (PPAs) will get squeezed out, leading to consolidation.

- **Weakest link:** The US could build renewables faster with regulatory reform, or new gas supply (e.g., from LNG exports being redirected to domestic use) could keep prices low. Also, the "indispensable fuel" narrative is from one report; utilities may still prefer renewables to meet climate goals.
- **What would falsify it:** Natural gas prices fall despite data centre demand growth; a major AI company signs a long-term nuclear PPA (small modular reactors) that lowers its power costs.

Chain 4: Export controls → US chip companies lose China market share → Chinese AI chip companies (like Huawei, Cambricon) gain → US competitiveness in frontier AI erodes → the "AI supply chain" reconstitutes around non-US nodes.

- **Facts:** Forbes analysis says export controls harm Nvidia, AMD, and Intel beyond just lost sales ([Forbes](#)). Qwen3.8-72B from Alibaba shows that Chinese AI models are catching up to frontier US models ([SCMP](#)).
- **Inference:** The export controls are designed to slow China's AI progress, but they are also forcing Chinese companies to build their own chip and semiconductor ecosystem. If Chinese AI chips (like Huawei's Ascend) become competitive enough for training and inference, the US loses its "moat" in AI. The long-term result could be a bifurcated global AI supply chain: one for the US/Europe/Japan, and one for China/Asia. This would reduce the economies of scale that benefit TSMC and Nvidia, and could make AI infrastructure more expensive everywhere.
- **Weakest link:** Chinese chips may remain 2-3 generations behind US chips for years. The "catching up" narrative may be overblown — Qwen is a software model, not a chip. China's hardware

bottlenecks (e.g., lacking EUV lithography machines) are real.

- **What would falsify it:** A US intelligence report that Chinese chip manufacturing is still far behind; or a

major Chinese AI company buying US chips via a "backdoor" (illegal transshipment) that undermines the controls.

8. Building Your Knowledge

1. **When the 30-year Treasury yield hits a 19-year high, it's not just a "bond market story" — it's the single most important macro signal for every asset you own.** Higher long-term yields raise the bar for stock valuations, especially for growth/tech stocks that promise most of their profits far in the future. The "risk-free rate" is the baseline for all investing. When it rises, something has to give — either stock prices fall to reflect the new discount rate, or earnings must grow faster than expected. Today's selloff (META -7%, ARM -10%) is the market adjusting to that new reality.
2. **The difference between "annualized revenue run rate" and "actual revenue" matters.** Anthropic is telling investors its revenue run rate is \$65B — meaning if July's revenue were sustained for 12 months, it would be \$65B. But revenue may not be linear: it could be growing or seasonal. The run rate is a forward-looking projection, not a backward-looking fact. It's what companies use to hype investors before an IPO. Always ask: "What was the actual revenue last quarter?"
3. **Export controls are a distinct type of sanction — they restrict technology, not goods.** Normal sanctions block trade in oil, weapons, or luxury goods. Export controls restrict the *knowledge* and *tools* needed to make advanced products. The chip war uses export controls: you can't sell a Chinese company the software to design a 3nm chip, or the machine that makes it. This is harder to enforce than a trade embargo because technology is intangible — it can be downloaded, stolen, or reverse-engineered. The US is trying to restrict the *means of production*, not just the product.
4. **The "AI buildout" is entering a phase where the inputs (power, debt, memory, chips) are more important than the models.** Over the last year, the story was "which model is best?" (Claude vs. GPT vs. Gemini). Now, the story is "how do we get enough power, enough memory, enough chips, and enough financing to build the infrastructure?" The models are commoditising; the resources to run them are the bottleneck. This is why the 30-year yield, oil prices, and natural gas prices matter more to your AI portfolio than any single model launch.
5. **A "contrarian bet" of \$129M against semiconductor stocks is a signal, but not a prediction.** When one trader makes a huge bet, it could be a hedge (e.g., a fund that owns lots of chip stocks wants to protect against a downturn) or a genuine directional bet. You can't know which. But the size alone is notable: it's the biggest single options trade of the day. If the trader is right, the market moves. If they are wrong and have to unwind the trade, it could cause a "short squeeze" (a rapid price rise as short sellers are forced to buy back). The lesson: big trades create risk, but don't assume they are "smart money."
6. **The "Makkah Joint Defense Agreement" is a signal that the US is trying to build a regional military alliance against Iran.** Trump's claim to be "very happy" about it suggests the US is seeking to formalise security cooperation among Muslim-majority states, potentially as a post-war framework for the region. This is a classic "sphere of influence" move: build a coalition of countries that share a common enemy (Iran) and then use that coalition to enforce a postwar order. It matters because it could create a long-term US military presence in the Gulf, with implications for oil security and the Strait of Hormuz.

9. Foundations & Terms

Concept Spotlight: Price-to-Earnings (P/E) Ratio

What it is: The Price-to-Earnings (P/E) ratio is the most common quick way to judge whether a stock is cheap or expensive. It's simply the stock price divided by the company's earnings per share (EPS) over the last 12 months (or projected for the next 12 months).

Formula: $P/E = \text{Stock Price} \div \text{Earnings Per Share (EPS)}$

Why it exists: Investors need a way to compare the price of a stock to the profit it generates. A \$100 stock that earns \$10 per share (P/E of 10) is cheaper than a \$100 stock that earns \$2 per share (P/E of 50). The P/E standardises "price" across companies of different sizes.

Concrete worked example: - Company A: stock price \$200, earnings per share \$10. $P/E = 200/10 = 20$. - Company B: stock price \$100, earnings per share \$10. $P/E = 100/10 = 10$. - Company B is "cheaper" by the P/E measure, even though its stock price is lower. If you pay \$100 for Company B, you get a \$10 profit per year (a 10% "earnings yield"). If you pay \$200 for Company A, you get only \$10 profit per year (a 5% yield).

How it shows up in the news today: - The S&P 500 P/E ratio is a frequently cited metric. When the market hits record highs, analysts say "the S&P 500 is trading at a P/E of 25x" — meaning the index price is 25 times the earnings of its constituent companies. That's above the historical average of ~15-18x, which is a sign that stocks are expensive (or that earnings are expected to grow rapidly). - Today, the market dropped. If the drop is purely price-driven (no change in earnings), the P/E ratio falls — stocks become "cheaper" relative to earnings. But if earnings are also falling (as they might if the economy slows), the P/E might stay the same.

Rough benchmarks to remember: - Historical average S&P 500 P/E: ~15-18x. - "Growth stocks" (tech, AI) often trade at 30-50x because investors expect future earnings to be much larger than today's. - "Value stocks" (utilities, banks) often trade at 10-15x. - A P/E below 10 is often a sign of a distressed company or a cyclical industry at the bottom. - A P/E above 40 is a sign that the market has very high growth expectations — and that disappointment will be punished hard.

Caution / common misconception: - The P/E ratio is backward-looking (trailing P/E uses past earnings) or forward-looking (forward P/E uses analyst estimates).

Both have flaws: past earnings don't guarantee future earnings, and analyst estimates are often wrong. - A low P/E does not always mean "cheap" — the company may be in a declining industry (e.g., a newspaper chain) where earnings are about to fall. - A high P/E does not always mean "expensive" — the company may be growing so fast that today's earnings are tiny relative to future earnings (e.g., a young AI company that is not yet profitable). - The P/E ratio is useless for companies with negative earnings (no P/E at all — it's a division by zero). Many AI companies, especially early-stage ones, are unprofitable, so you can't use P/E to value them.

Concept Spotlight: Export Controls

What it is: Export controls are government restrictions on selling certain goods, technologies, or services to specific countries, companies, or individuals. Unlike tariffs (which are taxes on imports), export controls limit what can leave the country.

Why they exist: Export controls are used for national security, foreign policy, or non-proliferation reasons. The idea is: "We don't want our enemies, potential adversaries, or competitors to get access to our most advanced technology because they could use it against us, copy it, or build their own military capabilities."

The chip-war weapon of choice: The US uses export controls to restrict the sale of advanced semiconductors (like Nvidia's H100/B200 AI chips), semiconductor manufacturing equipment (like ASML's EUV lithography machines), and software (like chip design tools from Cadence/Synopsys) to China. The goal is to slow China's progress in AI and military technology.

Concrete worked example: - The US government says: "You cannot sell Nvidia's A100 or H100 AI chips to China without a license." Nvidia, a US company, would lose billions of dollars in revenue if it obeyed. But if it didn't obey, it could face fines or even criminal charges. - Nvidia then designs a "lower-spec" chip (the A800/H800) that complies with the export control rules (slower interconnects, less memory bandwidth) and sells that to China instead. The US government then tightens the rules to also block those chips. - The result: China cannot buy the most advanced chips. But Chinese companies start designing their own chips (like Huawei's Ascend) and building their own factories (like SMIC), which may eventually close the gap.

How it shows up in the news today: - The Forbes article says export controls harm Nvidia, AMD, and Intel "beyond just lost sales" — because they lose the revenue that funds R&D, and they create a Chinese competitor that will eventually undercut them. - The entire "AI chip supply chain" is shaped by export controls. TSMC cannot manufacture advanced chips for Chinese AI companies without a license. The US government is also trying to control the flow of chip-making equipment from the Netherlands (ASML) and Japan (Tokyo Electron).

Rough benchmarks to remember: - The US controls about 90% of the global market for AI chips (Nvidia+AMD+Intel). - China represents about 25-30% of global semiconductor demand. - Export controls have been tightened five times since 2022, each time adding more restrictions. - The "TSMC loophole" is that TSMC (Taiwan) is not a US company, but it uses US-origin software and equipment, so the US can still control its exports under the "foreign direct product rule."

Caution / common misconception: - Export controls are not a tariff — they don't raise revenue for the government. They are a denial of business. - They are hard to enforce because technology is intangible. You can't stop someone from downloading a chip design or from shipping chips through a third country (transshipment). - They can backfire: if US companies cannot sell to China, they lose market share, and Chinese companies fill the gap. Over time, export controls may weaken the US technology lead rather than preserve it.

Terms from Today's News

- **Annualized Revenue Run Rate:** A projection of a company's revenue for a full year, based on the most recent month's or quarter's revenue. If a company earned \$1B in July, its annualized run rate is \$12B (assuming it earns \$1B every month for the next 11 months). It's a "if this keeps up" number, not a guarantee. Anthropic used it to imply it is on track for \$65B in annual revenue.
- **Memorandum of Understanding (MoU):** A non-binding agreement between two or more parties to explore a business relationship or a deal. It's a "handshake on paper" — it signals intent but does not

create a legal obligation to complete the deal. The \$500B Nvidia investment consortium uses MOUs, meaning the actual investments are not yet committed.

- **Discount Rate (in finance):** The interest rate used to convert a future dollar of profit into its value today. The logic: \$100 earned in 2030 is worth less than \$100 today because you could invest \$100 today and earn interest. The higher the discount rate (e.g., the 30-year Treasury yield at 5.33%), the less a future profit is worth today. This is the core mechanism that causes stock prices to fall when interest rates rise.
- **Selloff:** A broad decline in stock prices, usually driven by a single macro factor (like rising yields) rather than company-specific news. Today's selloff hit AI stocks particularly hard.
- **Contrarian Bet:** A bet that goes against the prevailing market sentiment. If everyone is bullish on chips, a trader who bets against chips is a contrarian. The \$129M options trade against the semiconductor ETF is a contrarian bet.
- **Flashpoints:** Geopolitical locations where tensions are high and could escalate into conflict. The Taiwan Strait, the Strait of Hormuz, the India-China border, and the Korean Peninsula are all flashpoints.
- **Terminal (in software):** A command-line interface where developers type commands to interact with the operating system. Warp is a modern terminal app. Warp Factories is a tool that sets up a full AI development environment within the terminal.
- **Gigawatt (GW):** A unit of electrical power equal to 1 billion watts. One GW can power roughly 750,000 homes. Rubicon surpassed 1 GW of battery storage capacity — enough to power a large city for a few hours, or a hyperscale data centre.
- **Interconnects (in chips):** The wires and circuits that allow different parts of a chip (or different chips in a server) to communicate. In AI, the speed of interconnects (like Nvidia's NVLink) is often as important as the raw compute power of the GPU, because AI models are so large they must be split across many chips.

10. Bottom Line

The world is rotating into a higher-risk, higher-cost regime. The US-Iran ceasefire expired with no deal, keeping oil elevated and the Strait of Hormuz closed. The 30-year Treasury yield hit 5.33%, a 19-year high, which is pulling the rug out from under AI stocks by making their future profits worth less today. The AI buildout is still happening (Anthropic's revenue is exploding, Nvidia is financing \$500B in infrastructure), but the inputs — power, debt, memory, chips — are getting more expensive. The question is not "will AI grow?" but "can the infrastructure be built fast enough, and at what cost?" Today's market selloff is the first significant repricing of that risk.

What changed since the previous brief: - The US-Iran ceasefire went from "expiring with no deal" to **actually expired with no deal** — the deadline passed, and talks are off. Oil prices are likely to rise further. - The 30-year Treasury yield crossed 5.33%, a 19-year high, triggering

a broad selloff in AI and chip stocks. - Anthropic's revenue run rate doubled from ~\$32B to \$65B in two months — an extraordinary acceleration that validates the AI monetisation thesis. - A single \$129M options bet against semiconductor stocks became the biggest trade of the day, signalling that some big money is betting on a reversal. - The "AI buildout" narrative shifted from "how fast can we build?" to "how much will it cost?" — with rising bond yields and natural gas as the "indispensable fuel" signalling that the cost side is becoming the dominant story.

The through-line: the macro environment is becoming hostile to the AI infrastructure thesis (higher rates, higher oil, higher power costs), even as the micro data (Anthropic's revenue, Qwen adoption) is spectacular. The market is trying to figure out which force wins. Today, the macro won.

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Quick Check

1. **Why did the 30-year Treasury yield hitting 5.33% cause AI and chip stocks to sell off today?** (Hint: it's about how future profits are valued.)
2. **Anthropic told investors its annualized revenue run rate is \$65 billion. What is the difference between "annualized revenue run rate" and "actual quarterly revenue," and why might a company use the run rate instead of actual revenue to hype itself before an IPO?**
3. **The 60-day US-Iran ceasefire expired with no deal. Name two second-order consequences that could affect your portfolio — one for oil prices, and one for the cost of building AI data centres.**

Answers:

1. **Higher long-term yields raise the discount rate used to value future cash flows.** AI and chip stocks are "high duration" — most of their expected profits are far in the future. When the risk-free rate (the 30-year yield) rises, the present value of those future profits falls, so the stock price falls to compensate.
2. **Annualized revenue run rate is a projection based on a single month's or quarter's revenue, extrapolated to a full year.** It assumes the company can keep earning at that rate for the next 11 months, which is rarely true for a hyper-growth company. Actual quarterly revenue is the real number. A company uses the run rate before an IPO to make its revenue look larger and more impressive to potential investors. Anthropic's actual Q2 revenue was likely much less than $\$65\text{B}/4 = \16.25B .
3. **Oil prices will likely rise** because the Strait of Hormuz (through which ~20% of global oil passes) remains effectively closed, and the risk of renewed active combat is high. **Data centre financing costs will rise** because the higher oil prices feed into inflation, which keeps the Fed from cutting rates, which keeps the 30-year yield elevated, which makes the debt used to build data centres more expensive. The \$500B in AI infrastructure MOUs Nvidia signed may become more expensive to execute.

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